

GLOBAL SUPERSTORE

CEO Profit Brief

Sales, profit, loss, and early signs of profit leakage

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Global Superstore CEO Profit Brief

Business Question: *Where is profit generated, where is it leaking, and what actions should management take?*



Total Sales

\$12.64M



Net Profit

\$1.47M



Profit Margin

11.61%

Where Profit Comes From

- Total sales reached \$12.64M, generating \$1.47M net profit.
- Profit margin stands at 11.61%.
- Technology is the largest profit-driving category at \$664K.

Where Profit Leaks

- Tables are the only major sub-category generating losses (-\$64K).
- 30% of orders generate negative profit.
- Approximately \$921K in profit is lost through unprofitable orders.

Profit Leakage Diagnosis

Business Question: *What is destroying profit, and where are losses concentrated?*



Total Losses

\$920.65K



Loss-Making Orders

12,500+



Furniture Losses

~\$370K

Where losses are Concentrated

- Total losses from unprofitable orders amount to \$920.65K.
- Over 12,500 transactions generated negative profit.
- Tables are the largest loss-making sub-category.

Where Losses Cluster

- Furniture contributes approximately \$370K of total losses.
- Central region records the highest loss at approximately \$202K.
- Nearly one-third of all orders lose money.

RECOMMENDATIONS

Review pricing strategy for Tables.

Investigate high-loss regions and product combinations.

Introduce profitability controls before approving large discounts.

Discount Strategy Effectiveness

Business Question: *Are discounts driving profitable growth, or destroying value?*



Avg. Discount

14.3%



Loss on Discounted Orders

\$303K



Margin Above 30% Discount

-51%

Cost of Discounting

- Average discount across all orders is 14.3%.
- Discounted orders generated a net loss of \$303K.
- Discounts account for approximately \$921K of lost profit.

The Pattern

- Orders with discounts above 30% produce a profit margin of -51%.
- Furniture receives the highest average discounts.
- Profitability declines consistently as discount levels increase.

RECOMMENDATIONS

Limit discounts above 20%.

Require approval for discounts exceeding 30%.

Focus discounts on categories that remain profitable after markdowns.

Customer & Operational Performance

Business Question: *Which customers and operational factors contribute most to profitability?*



Top Segment Profit

\$749K



Avg. Order Value

\$505



Avg. Delivery Time

4 days

Who Drives Profit

- Consumer segment generates the highest profit at \$749K.
- Standard Class shipping delivers the highest profit at \$891K.
- Top 10 customers contribute a significant share of total profit.

Operational Efficiency

- Average order value is \$505; average shipping cost is \$26 per order.
- Average delivery time is 4 days.
- Delivery speed shows limited impact on profitability.

RECOMMENDATIONS

Prioritize retention of high-profit customers.

Continue focusing on Standard Class fulfillment.

Improve customer segmentation and targeted promotions.



MANAGEMENT RECOMMENDATIONS

Six Actions to Recover Profit

1

Reduce excessive discounting, especially above 30%.

2

Address losses concentrated in Furniture and Tables.

3

Investigate loss concentration in the Central region.

4

Retain and expand high-value customer relationships.

5

Maintain focus on profitable shipping methods.

6

Implement profitability monitoring before discount approvals.